

initiate a few bold reform measures



BIBEK DEBROY

- Fiscal consolidation and reforms
- Liberalisation in bank licensing
- Honesty and transparency in budget making



ASHIMA GOYAL

- Fiscal consolidation
- Continuity on inclusion and talk of improving governance
- Focus on capital expenditure

- Tinkering into indirect taxes chain
- Number of schemes in bits and pieces
- No coherent image of what the Budget tries to do

- What the Government tries to do to control inflation may not be adequate
- Possibility of rise in crude prices and political reasons may not allow dismantling of subsidies
- Inevitable hardening of interest rates

- Wasting of political capital
- Hike in petroleum prices in a distorting way
- Pushing GST to the next year

- Inflation, as Government is complacent about it
- Implementation, since delivery of public services does not live up to the promises
- Need to tackle subsidy which accounts for 11% of government expenditure

Inflation	5.5%
Interest	8.5%
Rs-\$ rate	43.5
GDP	8.5%

Inflation	6%
Interest	8.5%
Rs-\$ rate	44
GDP	8%

6.5

10

7

10

tivise investments. Basically it is consumption growth that is keeping consumer optimism alive. We have a definite upswing in demand. I don't see any negative sectors or areas that will be affected. There are some doubts about the withdrawal of the holiday extension to information technology and business process outsourcing sectors. It is going to affect the Software Technology Parks of India units that are not based in Special Economic Zones.

Debroy: First, I'll answer the question and then I'll tell you why I don't want to answer the question. Of course, we will have tremendous growth in eastern India because Rs 400 crore will be spent across 10 states—that is Rs 40 crore per state and an enormous green revolution will be unleashed. And, yes, Food Corporation of India can now hire godowns for seven instead of five years. Of course, I



thousand rupees is the yearly income released for people earning up to Rs 10 lakh. This is due to the change in income tax slabs.

GDP GROWTH FORECASTS

2007-08
BITE Forecast **8.5%**
Actual **9.2%**

2008-09
BITE Forecast **7.5%**
Actual **6.9%**

2009-10
BITE Forecast **7%**
Actual **7.2%***

* Projected

am being sarcastic. I don't want to answer the question because I don't think that's the right question at all. The growth will happen but this Budget does not do anything particular for growth, nor does it damage growth. That's the important thing. Growth will be impacted by interest rate hike. The one pro-growth impulse is tax reform. On the corporate side whatever one is losing through Minimum Alternative Tax, one is gaining through elimination of surcharge. But in this Budget there is lots of tinkering here, there, everywhere; particularly excise and balloons. Some of the sectors that will gain are the ones that are already mentioned, like housing and rural sector but one thing that has not been mentioned is energy in all of its different dimensions.

Dev: Basically, we are banking on Lord Indra. I don't think there is any great expectation on new impetus for non-agricultural growth. What is expected is agricultural growth because we will be moving from minus one to 5 per cent but that depends on rain. There are announcements on agriculture, a four-pronged strategy but there is no action plan. In rural